

PXED_PITCH_DECK_20260825

PITCH — PXED — VERDICT

PROPOSED — PENDING ADJUDICATION — no entry today; a starter becomes payable only if the unexplained Q3 earnings hole closes benignly and the stock is under \$27.50 (bands and triggers below).

What we believe

Phoenix Education Partners (ticker PXED, CIK 1600222) is the parent of the University of Phoenix. It IPO'd in October 2025 and now trades at \$28.64 — 38% below its 52-week high of \$46.41 and 23% above its 52-week low of \$23.19.

Four things we think are true, all sourced to the company's own filings rather than to a transcript or a broker note:

- 1. It is genuinely cheap, though less cheap than the bull headline.** Market value is about \$1,032M. Cash and investments are \$266.5M unrestricted (\$155.0M + \$75.1M + \$36.4M per the [Q3 FY26 10-Q](#)), plus \$3.0M restricted. Enterprise value is therefore about \$766M. Against roughly \$214M of cash earnings — company-adjusted EBITDA of ~\$248M *less* the ~\$34M/yr steady-state stock compensation that adjustment removes — that's **3.6x**, not the 3.0–3.3x the original write-up carried. On earnings, normalized trailing EPS is about \$2.65, so roughly **10.8x**. Cheap on a corrected basis; the headline was flattered by about 20%.
- 2. The balance sheet is clean and we checked it rather than assuming it.** No debt. A \$100M revolver, entirely undrawn, maturing 2030-11-13, with only a \$28M letter of credit against it, leaving \$72M available. Minority interest is \$2.2M — small enough to rule out the usual post-IPO structure that hides a second class of shares.
- 3. The business is not falling apart, and the guide actually implies acceleration.** Average total degreed enrollment was 85,300 vs 84,800 a year ago; nine-month average 84,500, up 2.2%. Revenue in the May quarter was \$271.8M against \$271.7M — flat. The full-year guide of \$1.020–1.025B implies a fourth quarter around \$266.2M. Read sequentially that looks like a decline; read against the same quarter last year it is **+2.5% to +4.4%**, the fastest year-over-year quarter of the whole fiscal year (Q1 +2.9%, Q2 –0.4%, Q3 +0.04%). Last year the same quarter stepped down 5.3% sequentially; this year's implied step-down is 2.1% — smaller.
- 4. The thing actually stopping us is small, specific, and unexplained.** May-quarter EPS fell from \$1.42 to \$1.01 on flat revenue. Higher stock compensation (\$7.8M more, roughly \$0.16/share after tax) explains under half of the \$0.41 drop. **About \$0.25/share has no identified source.** Neither of our two benches could account for it. That is the reason we are flat — not the sponsor overhang, not the enrollment story.

What the market believes

Seven analysts rate it Buy with an average target of \$41.38 — roughly 14.4x our normalized earnings figure against the 10.8x we pay today, and +44% from spot. So the disagreement is **not about the numbers**. Street revenue consensus for the year is \$1.026B; the company guided just under it at \$1.020–1.025B. We and the sell side forecast nearly the same revenue. The gap is entirely in what multiple that revenue deserves.

Someone, though, sold this stock from \$46.41 down to \$28.64. We do not know who. Apollo did not: its holding was 24,901,319 shares at 3/31/26 and **exactly 24,901,319 shares at 6/30/26** ([13G/A 5/14](#), [13G/A 8/10](#)) — zero sales across a full quarter *after* its lock-up had already expired. The most plausible reading is that the market is discounting three things: the 69% sponsor stake that can be sold at any time, a for-profit-education regulatory tail, and an earnings line that just fell 29% on flat revenue with no explanation offered in the press release beyond “share-based compensation.”

Why we might have edge

- **We corrected a seasonality trap that the sell-side framing and one of our own benches both fell into.** Backing an implied stub quarter out of a full-year guide and calling its sequential decline “deceleration” is wrong on a company with an August fiscal year-end. Recomputed against the prior-year same quarter, the guide embeds the year’s best growth. This is a repeatable check, and we’ve written it up as a reusable pattern.
- **We correctly scoped the lock-up.** The 10-Q says plainly that “in connection with the expiration of the IPO lock-up period on April 6, 2026, securities held by our pre-IPO holders, **other than our Section 16 officers who remain subject to a one-year lock-up**, became eligible for sale.” Apollo is a pre-IPO holder, not an officer. The October 8 date that surfaced in a Form 4 footnote covers *officer* shares only — under 1M of them. Anyone dating the sponsor’s supply to October has read the wrong tranche.
- **We used the company’s own audited stock-compensation figures rather than the adjusted headline.** \$8,458K in the quarter vs \$645K; \$47,624K for nine months vs \$1,908K. Backing out the non-recurring IPO-grant spike gives a defensible ~\$34M/yr run rate, and that number drives both our multiple and our view of share-count creep.
- **We can price the exit before the entry.** Average volume is ~100,000 shares, about \$2.87M/day. Float is ~11.15M shares, ~\$320M. At our own discipline of trading no more than 1% of daily volume, a \$250k position takes roughly nine sessions to build and nine to exit. That is a real constraint we sized *before* proposing anything, not after.

Why it might be priced in

Honestly: quite a lot of it probably is.

- Every one of our numeric legs — cheap, debt-free, guide implies stable-to-slightly-better revenue — is derivable from public filings by anyone who reads them. Seven analysts already rate it Buy. We are not contrarian on the facts; we’re contrarian on nothing.

- The 69% sponsor stake is visible in a 13G and is the single most obvious reason a low-float post-IPO stock trades at 3.6x. Us noticing it is not edge.
- The borrower-defense liability is disclosed in the contingencies note. It is not a secret.
- The one thing that *isn't* priced-in-and-known is the \$0.25/share margin leak — and we can't explain it either. If we can't explain it, we don't have an information advantage over the sellers; we have the same ignorance and less patience.

Our two benches disagreed with each other on nearly every headline point, and both were partly wrong. That is a fair signal that this name is harder to read than its simple valuation suggests, not that we've found something.

What could go wrong

Failure narrative 1 — the margin leak was the first quarter of a permanent cost step, not a one-off. About \$0.25/share of the May-quarter earnings decline is unsourced. If it is a structural increase in the cost of acquiring a student — the transcript (an unvetted venue; we did not confirm this from a filing) mentions advertising up \$6.6M, or 16% — then this isn't a company earning \$2.65 normalized; it's a company earning perhaps \$2.20 and falling, and 10.8x becomes 13x on a declining number. Fair value drops toward the current price and the discount disappears. *Tripwire: yes.* The fiscal-year 10-K and Q4 release must contain a cost-line bridge. If advertising and instructional/support costs are up again on flat revenue, the thesis is dead.

Failure narrative 2 — the sponsor sells into us, or announces it will. Apollo holds 24.9M shares against 11.15M of float and \$2.87M of daily volume. Its lock-up expired 4/6/26. A registered secondary priced at a discount would reset the clearing price for a stock we can only exit at ~\$29k/day of our own liquidity. *Tripwire: partial.* An S-3 or 424B filing is monitorable and gives some warning. But Apollo can also simply sell into the market under Rule 144 with no advance filing, and we'd learn about it from the tape and a later 13G/A. Our comfort here rests on a *negative* — zero sales in the quarter after expiry — which is evidence but not a commitment.

Failure narrative 3 — the regulatory tail, and this one has NO usable tripwire. The Department of Education has approved over 1,200 borrower-defense claims, discharged roughly \$37M, and — per the contingencies note as read by one bench — indicated intent to recoup approximately \$37M. The company has accrued nothing and states it “cannot estimate a reasonably possible range of loss.” \$37M is ~3.6% of market value, survivable. The problem is the shape: borrower-defense recoupment is a *precedent-setting* process. A first successful action doesn't stay at 1,200 claims. **There is no sensor for this.** No filing schedule, no docket we can watch, no counterparty announcement. The Department acts on its own timeline; the first we hear may be an 8-K disclosing an accrual. And the deeper exposure isn't the recoupment at all — it's the whole apparatus of Title IV eligibility, the 90/10 rule, gainful-employment rules, and state attorneys-general action, any of which can change by rulemaking with no company-specific warning. **Unknown-unknown class: adverse regulatory-regime change at a politically-exposed issuer, arriving through a channel with no issuer-level disclosure obligation until it is already binding.** Related historical shape: sudden

accreditation or Title IV actions that have terminated for-profit education companies outright with weeks of notice. We cannot bound this tail from public filings, and we should stop pretending a price gate substitutes for one. This is also the reason the name carries our internal “integrity overhang” tag — meaning we cap what we’ll pay at 85% of estimated fair value and never treat the risk as fairly compensated.

The reflexive and structural leg — our own size, our own flow, and our own rules working against each other. - We are a meaningful fraction of this tape. At \$2.87M/day, our publishing discipline caps us at ~\$28.7k/day. Building a 0.25%-of-book starter and exiting it is roughly 18 sessions of round-trip. If we ever needed to exit on news, the discipline that protects us on entry traps us on exit — the honest read is that our real exit in a bad tape is *worse* than nine sessions, because volume in a broken low-float name falls exactly when we need it. - **We would be bidding into a supply we ourselves predict.** If we genuinely believe a sponsor secondary is likely, buying in the open market ahead of it means paying up for shares we could have bought in the block. Our own rule says do not bid into your own predicted flow. Either we believe the secondary is coming (then wait for it and bid the block) or we don’t (then say so, and stop using it as a reason to be flat). We currently want it both ways. That is an inconsistency in this pitch, not a resolved point. - **Doctrine interaction, stated plainly:** our “clean court defaults to a minimum starter” rule and our “unexplained data means kill” rule collide here. There is no *surviving named kill* — every headline kill from both benches was overturned or reduced. Under the first rule that argues for a starter. But the reason nothing survives is that the one load-bearing problem was never diagnosed by anyone. We are resolving the collision toward flat, and we should be explicit that this is a judgment call our own rules do not settle. - **Information blackout.** Fiscal Q4 ended **2026-08-31** — six days from now. The quarter that tells us whether the margin leak repeats is essentially already in the books, and we will not see it until roughly mid-November. That is an eleven-week window in which the decisive fact exists and we cannot read it.

If this position loses money, the most likely reason will be that the un-diagnosed ~\$0.25/share drop in May-quarter earnings was the first quarter of a permanent increase in student-acquisition cost, and we bought a structurally decaying earnings stream at 10.8x that turned out to be 14x on a shrinking base — with an illiquid exit and a 69% holder able to sell ahead of us.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Apollo’s overhang is dated to 2026-10-08” (our red bench’s single strongest finding)	Read the 10-Q lock-up sentence directly	The 10-Q says pre-IPO holders’ lock-up expired 2026-04-06 ; only Section 16 officers run to the one-year mark. Apollo is a pre-IPO holder, not an officer. Our own bench dated a 69% sponsor stake from an officer’s Form 4 footnote.	No — our bench was wrong, and this was its load-bearing kill

Claim	How checked	Found	Confirmed?
“An insider front-ran the lock-up by 7 weeks”	Read the Form 4 transaction codes	Codes are M + F , not M + S. The 39,825 shares went <i>to the issuer</i> to fund the option exercise — a net exercise, not an open-market sale. The officer net-acquired 22,957 shares he still cannot sell.	No — our bench misread the transaction code and built a narrative on it
“3.0–3.3x EV/EBITDA, 6.2x forward earnings” (original write-up)	Pulled stock-compensation from the audited filing and rebuilt EV	3.6x and ~10.8x normalized. The write-up’s figures were company-adjusted.	Corrected, not refuted — still cheap
Our own rebuttal multiple of “13.2x trailing”	Checked basis consistency	Our bench removed the one-off IPO grant from EBITDA but left it <i>in</i> the trailing EPS it used to argue the stock wasn’t cheap. Same adjustment, applied once. Correct figure ~10.8x.	No — our own bench used two different bases in one argument
“Share count is rising, that’s an extra cost”	Compared against the SBC deduction already taken	+1.6%/yr ≈ \$16.5M against \$34M/yr of stock comp already deducted from EBITDA. Charging both counts the same cost twice.	No — our own bench double-counted
“The guide implies deceleration”	Rebuilt the prior-year quarterly shape	Last year Q3→Q4 was –5.3%; this year’s implied step is –2.1%, and the implied quarter is +3.4% year-over-year — the year’s best. The guide implies acceleration.	No — our own bench inverted this
“New-student-start disclosure went dark” (original write-up’s #2 kill)	Compared every 8-K exhibit, FY25 Q4 through FY26 Q3	The disclosed series is Average Total Degreed Enrollment , and it is still disclosed. A “new starts” series never existed in a filed venue. Nothing was withdrawn.	No — the original write-up killed on an absence that was always absent
“\$269.4M of liquidity” (original write-up)	Added the balance-sheet lines	\$266.467M unrestricted + \$2.973M restricted = \$269.440M. The write-up was right; our red bench wrongly called it miscited.	Yes — write-up vindicated
Borrower-defense: “no recoupment begun, nothing accrued”	Two independent reads of the contingencies note	One bench surfaced “intent to commence a recoupment effort... approximately \$37 million”; the other bench could not surface that sentence in its own fetch. We are relying on a single unreplicated read of a material fact.	Partially — one bench, not two. Flagged, not skipped.
“The student-app review series is our highest-value missing signal”	Ran the App Store lookup	The only first-party app is “College Transfer Credits” — 3 lifetime ratings, 2.33 stars. The learning system is third-party (Blackboard/Anthology). There is no consumer app surface.	No — our bench called a structurally nonexistent signal a “gap”
Zero debt / no hidden structure	Revolver terms, letters of credit, minority interest	\$100M undrawn, matures 2030-11-13, \$28M LC, \$72M available. Minority interest \$2.2M.	Yes
Apollo actually selling?	13G/A share counts, two consecutive filings	24,901,319 at 3/31/26 and 24,901,319 at 6/30/26 — zero sales in the first full quarter after its lock-up expired	Yes

Claim	How checked	Found	Confirmed?
Advertising +\$6.6M/+16%; B2B 36% of base	Looked for it in a filed document	Exists only in the earnings call transcript . The 8-K attributes the earnings decline “primarily to share-based compensation” and quantifies neither figure.	No — transcript-only, not filed. Do not lean on it.
Who sold the stock from \$46.41 to \$28.64	Attempted tape decomposition and short interest	Broker access was permission-denied. We do not know.	No — open coverage gap
Next earnings date 2026-11-19	Looked for a company press release or 8-K setting it	Derived from a third-party data feed. No company source. Last year’s equivalent print was 2025-11-20, so mid-to-late November is the right window.	No — unconfirmed

PROPOSED ENTRY BANDS

Today: no entry. Not because a kill survived — none did — but because roughly \$0.25/share of quarterly earnings is unaccounted for and we are eleven weeks from the disclosure that explains it.

What price would be payable if the diligence closed. Working from the benches’ own arithmetic: ~\$214M of cash earnings after the real stock-comp charge, at 5.0x enterprise value to that figure, gives an enterprise value of ~\$1,070M; add \$266.5M of net cash, divide by 36.05M shares → ~\$37/share. Subtract the full \$37M borrower-defense exposure (~\$1.03/share) → ~\$36 **fair value**. Our integrity-overhang rule caps what we will pay at 85% of that: **\$30.60 is the maximum payable price**. (The 5.0x multiple is ours, not either bench’s; it is a judgment for a debt-free, roughly flat-revenue, sponsor-controlled operator with an unbounded regulatory tail. At 4.5x the cap falls to \$29.0; at 5.5x it rises to \$32.2.)

Spot at \$28.64 is **6% under the cap**. So price is not what’s blocking us. Diligence is.

Reopen bands — both conditions required, neither sufficient alone:

	Condition
Condition A (diligence — hard gate)	The FY26 10-K / Q4 release contains a cost-line bridge accounting for the May-quarter \$0.25/share gap, and that gap does not recur in Q4. If the leak recurs, the name goes to permanent no-entry until a full year of stabilized margin.
Condition B (price)	Trading at or below \$27.50 — a 10% margin under our \$30.60 cap, sized for the fact that we cannot exit quickly.
Starter size	0.25% of book , entered as a limit ladder at no more than 1% of daily volume (~\$28.7k/day → roughly 9 sessions to fill).
First add	Only after one further quarter of stable margin. 0.25% more , at or below \$25.00. Total intended position capped at 0.75% of book — the exit constraint, not conviction, sets this ceiling.
Hard no-bid	Above \$30.60 (the integrity cap). Above that price we are paying full value for a tail we cannot bound.

	Condition
Exit / re-court trigger	A break below \$23.19 (the 52-week low) on any day is not an add — it is a mandatory re-court. A new low after the print means someone knows something the filings haven't told us.
Sponsor-supply rule	If an S-3 or secondary is filed, cancel all resting bids and wait for the block to price. Do not bid into supply we ourselves predicted.

Catalyst dates:

Date	What	Confirmed?
2026-08-31	Fiscal year-end (per the 10-Q's own fiscal-year tag). The decisive quarter closes here; we see nothing for ~11 weeks.	Yes — from the filing
2026-10-08	Section 16 officer transfer restrictions expire. Under 1M shares against 11.15M float — material, not decisive. Do not treat this as the sponsor's date.	Yes — Form 4 footnote
2026-10-10	First IPO anniversary; a forecast-scenario tag in the 10-Q's XBRL points at this date and we have not read what it governs.	No — tag unread
~2026-11-19	FY26 Q4 / full-year print and 10-K. This is the single decisive event. Both the margin bridge and any Apollo registration statement resolve on or before it.	No — third-party derived; last year's was 2025-11-20

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 23.19 (deck-provisional: 52-week low break — mandatory re-court, not an add; a new low implies information not in the filings.)
- filing watch: S-3,424B4,424B5,SC 13G/A,SC 13D until 2027-02-21 (deck-provisional: Apollo holds 24,901,319 shares (69.1%) against 11.15M float; lock-up already expired 2026-04-06, so a)
- dated pack PXED|2026-08-31: PXED: FY26 fiscal year-end — the decisive quarter closes, ~11 weeks before we can read it. (date confirmed=True)
- dated pack PXED|2026-10-08: PXED: Section 16 OFFICER transfer restrictions expire (<1M shares) — NOT the sponsor's date; Apollo's lock-up expired 2026-04-06. (date conf
- dated pack PXED|2026-10-10: PXED: First IPO anniversary; an unread forecast-scenario tag in the 10-Q XBRL points here. (date confirmed=False)
- dated pack PXED|2026-11-19: PXED: FY26 Q4 / full-year print and 10-K — the single decisive event; margin bridge and any sponsor registration both resolve on or before i

What remains unverified

1. **The ~\$0.25/share May-quarter earnings gap.** The single most important open item. Stock compensation explains under half the drop. Nothing in a filed document explains the rest. This blocks entry.
 2. **The borrower-defense recoupment sentence** — surfaced by one bench's document read, not reproduced by the other's. A material fact currently resting on a single unreplicated fetch.
 3. **Who sold the stock from \$46.41 to \$28.64.** Apollo sold nothing. Broker data access was denied, so we have no volume decomposition and **no short-interest figure at all** on a stock with an 11.15M-share float — which is exactly the float profile where short interest matters most.
 4. **The earnings date.** Third-party derived. No company source. Everything in the reopen band keys off an unconfirmed date.
 5. **What the 2026-10-10 forecast tag in the 10-Q's XBRL actually governs.** We saw the tag; we did not read the text.
 6. **The IPO prospectus "Shares Eligible for Future Sale" section** — we could not fetch it. The 10-Q's lock-up sentence is a good substitute and we relied on it, but the prospectus is the authoritative text and we have not read it.
 7. **Cash flow from operations, revenue, and diluted share count from structured filing data** — the machine pull came back empty. Every figure above is reconstructed from document text and third-party sources, not from the audited structured data we normally require.
 8. **The dividend** (~3%, from the original write-up) — carried forward, not re-verified from a filing.
 9. **The advertising and business-to-business figures** — transcript only. Do not use them in any downstream model.
 10. **Whether the 5.0x multiple in our fair-value math is right.** It is our judgment, unbenchmarked against comparable for-profit education operators. The entry band moves $\pm$ \$1.60/share across a half-turn either way, which is larger than the margin we're claiming.
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ADDENDUM — 2026-08-26 (adjudication + alt-data)

ADJUDICATED: FLAT, RP_TAINTED (0.85× cap), re-court only at the ~11/19 10-K. Red's insider-selling headline was exactly backwards at the primaries: the Form 4 is code F (net exercise, "No shares...were sold" verbatim — the insider net-ACQUIRED 22,957 restricted shares), and Apollo's lockup expired 2026-04-06 with zero sold through 6/30. Red's Q4-deceleration also inverted: implied Q4 is +3.4%, the fastest quarter of FY26. What actually bars entry: the unsourced ~\$0.25/sh Q3 margin leak and the un-accrued \$37M BDR tail. Gate: 10-K identifies ≥\$0.20 of the bridge AND no Apollo S-3 AND enrollment flat → minimum-starter court at ≤0.85×E[fv]. **Alt-data (R1.13 drain):** short interest 13.98% of float, +25% MoM into the 10-K — the market is leaning the other way, on file as a crowding datum. **Frozen call:** PXED-Q4BRIDGE p=0.60, grades ~11/19.